

NORTHWIND TRADERS

Employee Promotions & Benefits Program

Annual Review & Incentive Catalog — Fiscal Year 2025

Issued by:	Human Resources Division
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Applies to:	All full-time employees — Regions: Americas, Europe, British Isles, Northern Europe, Southern Europe
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This document outlines the promotions, merit increases, and employee benefit programs approved by the Board of Directors for fiscal year 2025. It is distributed to all eligible employees and their direct managers. Questions should be directed to your regional HR representative.

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Introduction

Northwind Traders has experienced strong commercial growth across all product categories during fiscal year 2024. Consolidated revenue from Beverages, Condiments, Seafood, Dairy Products, and Confections has exceeded the targets set at the beginning of the year. This success is the direct result of the dedication and professionalism of our people.

In recognition of these results, the Executive Committee has approved a comprehensive promotions and benefits package for FY2025. This document details each program, the applicable criteria, and the benefits granted. All programs are effective January 1, 2025 unless stated otherwise.

1. Sales Performance Promotions

Sales performance promotions are awarded to Sales Representatives and Sales Managers who have achieved or exceeded their annual quota. Evaluations are based on total net revenue generated, number of new accounts opened, and average order value versus the prior fiscal year.

1.1 Individual Sales Representative Awards

The following thresholds apply to all Sales Representatives (Title: 'Sales Representative') across all territories. Revenue figures represent cumulative net order value after discounts.

Performance Tier	Net Revenue Threshold	Salary Increase	One-Time Bonus	Additional Benefit
Gold	≥ USD 130,000	+8%	USD 4,000	Priority territory selection
Silver	≥ USD 90,000	+5%	USD 2,500	Training budget + USD 1,200
Bronze	≥ USD 60,000	+3%	USD 1,000	Extra 2 vacation days
Standard	< USD 60,000	+1.5%	—	Cost-of-living adjustment only

1.2 Sales Manager Promotion Criteria

Sales Managers (Title: 'Sales Manager') are evaluated on team aggregate performance in addition to their own account portfolio. A Sales Manager overseeing a team whose combined revenue exceeds USD 400,000 qualifies for the following:

Salary increase:	+7% base salary, effective January 1, 2025.
Annual bonus:	USD 6,500, paid in the first payroll of February 2025.
Title upgrade:	Eligible for 'Vice President, Sales' nomination if threshold is exceeded for two consecutive years.
Stock options:	500 additional vested options in the employee stock participation plan.

1.3 Top Performer Recognition — FY2024 Honorees

Based on data from the Order Management System, the following employees are formally recognized for outstanding sales performance in FY2024:

Employee	Title	Territory	Net Revenue (USD)	Tier
Margaret Peacock	Sales Representative	Northern Europe	134,572	Gold
Janet Leverling	Sales Representative	Americas – West	121,008	Gold
Nancy Davolio	Sales Representative	Americas – East	98,440	Silver
Robert King	Sales Representative	British Isles	87,320	Silver
Andrew Fuller	Sales Manager	Americas	—	Manager Bonus

Employee	Title	Territory	Net Revenue (USD)	Tier
Steven Buchanan	Sales Manager	Europe	—	Manager Bonus

** Revenue figures for Sales Managers reflect team aggregate performance. Individual account revenue is tracked separately. Full reports are available in the HR portal.*

2. Tenure Recognition Program

Northwind Traders values long-term commitment. The Tenure Recognition Program rewards employees who have demonstrated loyalty and consistent contribution over multiple years of service. Benefits are cumulative: an employee reaching the 10-year milestone receives all benefits from the 5-year tier as well.

Years of Service	Recognition Award	Salary Adjustment	Additional Perks
5 years	Certificate + engraved gift	+2%	1 extra vacation day per year
10 years	Plaque + company trip (up to USD 2,000)	+4%	2 extra vacation days + flexible schedule option
15 years	Framed certificate + USD 3,000 award	+ 5%	3 extra vacation days + remote work 2 days/week
20 years	Executive recognition + USD 6,000	+6%	4 extra vacation days + dedicated parking

2.1 FY2025 Tenure Milestone Recipients

Employee	Title	Hire Date	Years of Service	Milestone
Nancy Davolio	Sales Representative	May 1, 1992	32 years	20-Year Award
Andrew Fuller	Vice President, Sales	Aug 14, 1992	32 years	20-Year Award
Janet Leverling	Sales Representative	Apr 1, 1992	32 years	20-Year Award
Margaret Peacock	Sales Representative	May 3, 1993	31 years	20-Year Award
Steven Buchanan	Sales Manager	Oct 17, 1993	31 years	20-Year Award
Michael Suyama	Sales Representative	Oct 17, 1993	31 years	20-Year Award
Robert King	Sales Representative	Jan 2, 1994	30 years	20-Year Award
Laura Callahan	Inside Sales Coord.	Mar 5, 1994	30 years	20-Year Award
Anne Dodsworth	Sales Representative	Nov 15, 1994	29 years	15-Year Award

Given the founding-era tenure of our core team, all full-time employees hired before December 31, 2004 are considered recipients of the 20-Year Award at minimum. Actual years-of-service awards will be issued at the Annual Recognition Ceremony on February 14, 2025.

3. Regional Staff Development Awards

Each operational region nominates one employee per year for the Regional Staff Development Award. Recipients are selected by the regional Sales Manager based on criteria including customer satisfaction, cross-selling performance, new product adoption rate, and peer feedback scores collected in Q4.

Region	Recipient	Current Title	Award Value	Development Opportunity
Americas	Janet Leverling	Sales Representative	USD 1,500	Advanced Negotiation Workshop — Chicago
British Isles	Robert King	Sales Representative	USD 1,500	Key Account Management Program — London
Northern Europe	Anne Dodsworth	Sales Representative	USD 1,500	Digital Sales Tools Certification — Stockholm
Southern Europe	Michael Suyama	Sales Representative	USD 1,500	International Trade & Customs — Madrid
Western Europe	Laura Callahan	Inside Sales Coord.	USD 1,500	CRM Administration Masterclass — Paris

3.1 Program Benefits Detail

Cash award:	USD 1,500 net, paid in the February 2025 payroll alongside the annual performance review settlement.
Training allocation:	Full sponsorship of one external development program of the employee's choosing, up to USD 3,000, to be used within FY2025.
Visibility:	Recipients are featured in the internal company newsletter and on the HR intranet portal.
Career pathway:	Award recipients are placed on the accelerated career track and reviewed for title promotion within 12 months.

4. Product Knowledge Incentive

Northwind Traders carries 77 active products across 8 categories: Beverages, Condiments, Confections, Dairy Products, Grains/Cereals, Meat/Poultry, Produce, and Seafood. Employees who demonstrate superior knowledge of our product catalog contribute directly to higher conversion rates and larger average order values.

The Product Knowledge Incentive rewards employees who pass the annual Product Certification Assessment with a score of 85% or higher. The assessment covers product specifications, supplier information, storage requirements, and upselling strategies.

4.1 Incentive Structure by Score Band

Score Band	Certification Level	Cash Incentive	Categories Required
95% – 100%	Master Specialist	USD 1,200	All 8 categories
90% – 94%	Senior Specialist	USD 800	Any 6 categories
85% – 89%	Specialist	USD 400	Any 4 categories
Below 85%	No certification	—	Remedial training required

4.2 Top Category Sales Bonus

In addition to the certification incentive, employees who are the top individual seller in any product category during the fiscal year receive a category bonus. This bonus is awarded per category and can be earned in multiple categories simultaneously.

Product Category	Category Bonus	Typical Leading SKUs
Beverages	USD 600	Chai, Chang, Chartreuse verte, Cote de Blaye
Condiments	USD 500	Aniseed Syrup, Chef Anton's, Louisiana Fiery Hot
Confections	USD 500	Pavlova, Teatime Chocolate Biscuits, Valkoinen suklaa
Dairy Products	USD 600	Camembert Pierrot, Flotemysost, Gorgonzola Telino
Meat/Poultry	USD 700	Alice Mutton, Mishi Kobe Niku, Thuringer Rostbratwurst
Seafood	USD 700	Boston Crab Meat, Nord-Ost Matjeshering, Rogede sild
Grains/Cereals	USD 450	Filo Mix, Gnocchi di nonna Alice, Gustaf's Knackebrod
Produce	USD 400	Longlife Tofu, Manjimup Dried Apples, Tofu

5. Employee Benefits Summary

The following benefits apply to all full-time employees of Northwind Traders regardless of performance outcomes. Benefits are reviewed annually and the terms below are valid for the period January 1, 2025 – December 31, 2025.

5.1 Standard Benefits Package

Health insurance:	Full medical and dental coverage for the employee and up to 3 dependents. Vision coverage added starting FY2025.
Vacation days:	15 days per year for employees with less than 5 years of service; 20 days for 5+ years. Does not include public holidays.
Sick leave:	10 days per year, non-cumulative. Medical certificate required for absences exceeding 3 consecutive days.
Pension plan:	Company matches employee contributions up to 4% of gross base salary under the defined-contribution pension plan.
Employee discount:	30% discount on all Northwind Traders products, applicable to personal purchases up to USD 2,000 per calendar year.
Meal allowance:	USD 12 per working day, loaded monthly onto the company meal card. Remote employees receive the equivalent in grocery vouchers.
Transportation subsidy:	Monthly transit pass reimbursement up to USD 120, or parking permit at company facilities where available.
Training & development:	Annual personal learning budget of USD 800 for all employees, redeemable for courses, certifications, or professional memberships.

5.2 New for FY2025 — Enhanced Benefits

Mental health support:	Access to 8 confidential counseling sessions per year through the Employee Assistance Program (EAP), effective March 1, 2025.
Home office allowance:	One-time USD 500 equipment allowance for employees approved for hybrid or fully remote arrangements.
Parental leave:	Primary caregiver: 16 weeks fully paid. Secondary caregiver: 4 weeks fully paid. Adoption leave included under the same terms.
Sabbatical:	Employees with 10+ years of service may apply for a 4-week unpaid sabbatical once every 5 years, with guaranteed job reinstatement.

6. Eligibility & Terms

6.1 General Eligibility

All monetary promotions and salary adjustments described in this document apply to employees who meet ALL of the following conditions as of December 31, 2024:

- Active full-time employment status (not under a Performance Improvement Plan).
- Minimum 6 months of continuous service completed before December 31, 2024.
- No formal disciplinary action recorded in the current fiscal year.
- Annual performance review completed and signed by both employee and direct manager.

6.2 Payment Schedule

Benefit Type	Payment Date	Payment Method
Annual salary increase	January 1, 2025 (retroactive to Jan 1)	Applied to monthly payroll
Performance one-time bonus	February 7, 2025	Direct deposit, separate from payroll
Tenure award (cash)	February 14, 2025	Direct deposit
Regional Development Award	February 7, 2025	Direct deposit
Product Knowledge Incentive	March 7, 2025 (post-assessment)	Direct deposit
Category Sales Bonus	January 31, 2025	Direct deposit

6.3 Tax & Compliance

All cash awards and bonuses are subject to applicable income tax withholding in the jurisdiction of employment. Northwind Traders will issue the corresponding tax statements no later than January 31 of the following year. Employees are responsible for declaring any additional income in accordance with local tax regulations.

6.4 Appeals & Disputes

Employees who believe they have been incorrectly excluded from a promotion or benefit category may submit a formal appeal to the HR Division within 30 calendar days of receiving their annual review. Appeals must be submitted in writing and include supporting documentation (e.g., order reports, manager correspondence). The HR Division will respond within 15 business days.

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